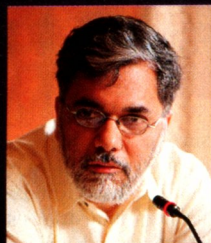




THE BITE REPORT

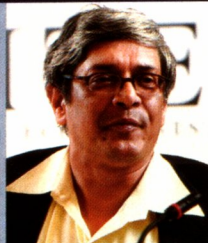
There is applause for fiscal consolidation and excise ra



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GOOD

● The good thing in this Budget is the work promised on the bond currency derivatives story.

● The good parts of this Budget are the attempts to revive growth and the steps taken for inclusive growth.

● The only good thing about this Budget is that it is the last budget of the UPA Government.

● The good thing in this Budget is that excise rate cuts will address the slowing down of the economy.

● The good thing in this Budget according to me is that it will get the corporate bond market going.

BAD

● The bad thing in this Budget is that there has been no cut in customs duty.

● The bad part of the Budget is the huge waiver of loans taken by farmers from PSU banks.

● The bad thing in this Budget is that there is too much of discretion on various aspects of taxes.

● The bad thing in this Budget is that corporate surcharge has not been removed.

● There has been no further cut in customs duty which is another dent in UPA's credibility.

UGLY

● The ugly parts of the Budget are the off balance-sheet items and the loan waiver scheme for farmers.

● The ugly part of this Budget, i.e., the huge waiver of loans taken by farmers from banks, is also its ugliest part.

● The ugly part of the Budget is the huge waiver of loans taken by farmers from PSU banks.

● The ugly part of the Budget is that it is not transparent about additional fiscal burdens.

● The ugly part of this Budget is the debt waiver scheme for farmers. It's a huge setback for lending discipline.

FORECAST FOR 2008-2009 *

Inflation **4.5%**
Interest **8%**
Rs-\$ rate **37**
GDP growth **7.5%**

Inflation **5%**
Interest **7.5%**
Rs-\$ rate **37**
GDP growth **8.2%**

Inflation **5%**
Interest **8.5%**
Rs-\$ rate **37**
GDP growth **8%**

Inflation **5%**
Interest **7.5%**
Rs-\$ rate **38**
GDP growth **8.3%**

Inflation **4%**
Interest **7.2%**
Rs-\$ rate **40**
GDP growth **8.7%**

THE BUDGET RATING

5
10

6.5
10

4
10

7.5
10

7
10

NIPFP: National Institute of Public Finance and Policy, CESS: Centre for Economic and Social Studies, NCAER: National Council of Applied Economic Research, IGIDR: Indra Gandhi Institute of Development Research, S&P's: Standard & Poor's. * Interest, inflation and Rs-\$ rates are for March 31, 2009